Bitcoin Transaction Trace: Sextortion Scam Fund-Flow Network

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Summary

Beginning from a Bitcoin address independently identified as a reported blackmail/sextortion scam payment address (Chainabuse), I conducted a forward on-chain trace using mempool.space and WalletExplorer.com, with a Python script built to parse WalletExplorer CSV exports and verify transaction counts, totals, and timing automatically. The trace surfaced a six-hop funnel network in which fund consolidation escalated at each stage, culminating in a long-running automated sweep wallet that fed into a high-volume address structurally consistent with a major exchange or custodial service.

Methodology

Forward-traced the transaction graph from the reported origin address; applied common-input-ownership clustering to link addresses to controlling wallets; exported CSV transaction histories at each hop and parsed them programmatically (Python: csv module, datetime parsing, frequency counting) to verify deposit/payout counts, totals, and timestamp gaps rather than relying solely on visual inspection; cross-checked candidate addresses against Chainabuse to test for additional independent scam attribution.

Trace Findings

Hop	Wallet	Activity	Window	Structure
Origin	b62d1347ab	Reported blackmail/sextortion payment address (identified via Chainabuse)	Jun 21, 2026	—
1	d08d0738ad	Single deposit received; full balance forwarded to origin address	27 min hold	Single-hop
2	1a9a5a610a	Consolidated 2 deposits; fanned out to 13 addresses (incl. Hop 1)	~5–6 hr hold	1→2 in
3	1e38ba8316	Consolidated 3 independent sources; fanned out to 8 addresses	~5 hr hold	2→3 in
4	adf7abec0b	Single deposit; fanned out to 3 addresses	~9.5 hr hold	3→1 in
5	2952b6244b	Consolidated 9 sources (0.2479 BTC, Python-verified); fanned to 18 addresses in one txn	Same-day	1→9 in
6	2cbc84e657	Long-running sweep wallet: 18 independent deposit cycles (Oct 2025–Jun 2026), each forwarded to one fixed destination within hours	8-month span	Recurring
Terminus	000002996c	19.2M transactions, 1.9M addresses, 6,000+ BTC balance; structurally consistent with a major exchange / custodial wallet	Ongoing	—

Red-Flag Indicators Identified

Indicator	Evidence
Escalating multi-stage consolidation	Input counts grew at each successive hop (1 → 2 → 3 → 9), suggesting multiple scam-proceeds streams converging into a shared funnel rather than a single victim's payment moving alone.
Disposable single-hop wallets	Several intermediate wallets received a full deposit and forwarded the entire balance the same day, draining to exactly 0.00000000 — inconsistent with ordinary personal wallet use.
Automated sweep behavior	One wallet (2cbc84e657) repeatedly forwarded deposits to the identical destination address across 18 separate, unrelated-looking inflows spanning 8 months — a signature of automated pass-through infrastructure, not organic spending.
Tool-output verification required	An initial automated count (9 in / 18 out) on wallet 2cbc84e657 appeared to describe one fan-out event; manual + scripted timestamp analysis revealed it was actually 18 independent deposit-forward cycles over 8 months — illustrating that summary statistics alone can mischaracterize structure without a timeline check.
Terminus at high-volume custodial wallet	The trail's endpoint shows wide, unevenly-distributed address balances held over long timeframes (months to years) — a pattern consistent with customer deposit addresses at an exchange or custodial service, distinct from the short-lived, similarly-sized outputs typical of mixing services.

Conclusion & Limitations

The traced network shows a coherent, escalating layering structure consistent with proceeds from a mass email-based blackmail campaign being pooled and obscured before reaching a financial off-ramp. The terminus wallet's address-level structure (wide balance distribution, long dormancy on some addresses, high transaction counts on others) is consistent with exchange or custodial-service infrastructure rather than a dedicated mixing service; however, this cannot be confirmed as a named entity from on-chain data alone, and no claim is made regarding that service's awareness or culpability. As with any exchange-level terminus, further attribution of specific account-holder identity would require subpoena-level access to internal custodial records, which falls outside the scope of public blockchain analysis.